ABC News · Reuters (via The Star) · CommBank
Digest of 25 October 2026

RBA deputy warns the inflation outlook is 'materially worse'

> RBA deputy governor Andrew Hauser says inflation is tracking materially worse than forecast. That has lifted the odds of a fifth rate rise this year on Melbourne Cup Day, 3 November.

WHAT HAPPENED

- Hauser pointed to the **Middle East crisis and oil prices**, the AI and technology boom, and weak productivity growth.
- RBA business contacts show a growing share of firms now see **3–3.5% inflation as normal**. Hauser called a shift in expectations a central banker's nightmare.
- The cash rate is **4.60%** after four rises this year, the latest at the 28–29 September meeting.
- Markets put the chance of a November rise to 4.85% at about 50%, up from under 20% a week earlier. UBS and Goldman Sachs lean towards a rise.
- The quarterly **Statement on Monetary Policy** comes out on the same day.

BY THE NUMBERS

4.60%
RBA cash rate now

4
rate rises in 2026 so far

~50%
market odds of a rise on 3 Nov

3–3.5%
the inflation rate some firms now see as normal

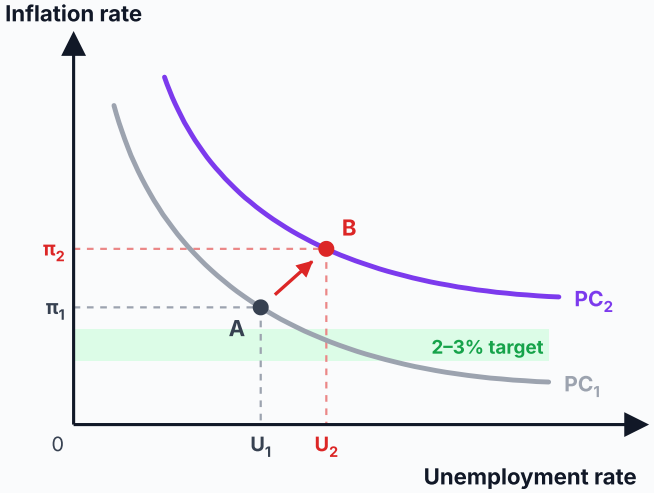
KEY TERMS

Inflation expectations: what households and firms think inflation will be. They shape wages and prices.

Transmission mechanism: how a change in the cash rate flows through to spending and prices.

Contractionary policy: policy that slows aggregate demand.

DIAGRAM — Why rising inflation expectations are a nightmare



If firms and workers come to expect higher inflation, the short-run Phillips curve shifts up from **PC_1 to PC_2**.

The economy moves from **A to B**: inflation is higher (**π_1 to π_2**) even with more unemployment (**U_1 to U_2**). Getting back to the target band then requires an even bigger slowdown.

Exam angle: this is why the RBA may raise rates even as unemployment rises. Its aim is to **anchor expectations** before they become self-fulfilling.

FLOW CHART — The transmission mechanism

RBA raises the cash rate → Mortgage and business loan rates rise → Borrowing and spending slow → Aggregate demand grows more slowly → **Inflation eases towards 2–3%**

SYLLABUS LINK

TOPIC 4: monetary policy. The RBA's inflation target, the transmission mechanism and the role of inflation expectations.

TRY THIS

Explain why the RBA is concerned about rising inflation expectations and how monetary policy can respond. **(6 MARKS)**

Articles: ABC News, 'RBA deputy warns inflation outlook materially worse', 21 Oct 2026 — https://www.abc.net.au/news/2026-10-21/reserve-bank-hauser-warns-inflation-outlook-materially-worse/107288574 · Reuters via The Star, 'Inflation outlook worsens for Australia', 22 Oct 2026 — https://www.thestar.com.my/business/business-news/2026/10/22/inflation-outlook-worsens-for-australia · CommBank Newsroom, 'RBA minutes show why board decided it could not wait on inflation', 13 Oct 2026 — https://www.commbank.com.au/articles/newsroom/2026/10/rba-minutes-show-why-board-decided-it-could-not-wait-on-inflation.html

Figures as reported at time of writing. Diagrams are illustrative, not to scale.